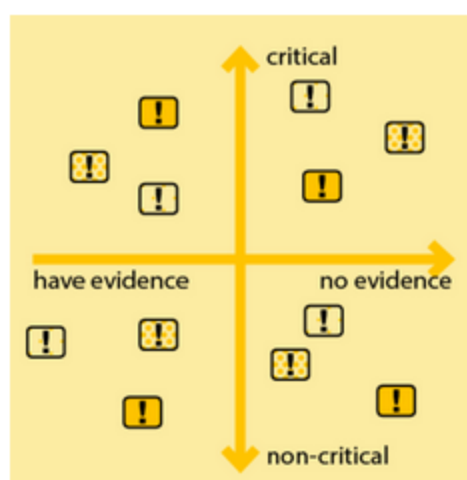




What You Will Need:

Your business idea

Business Model Canvas & Value Proposition Canvas

Sticky notes in 4 colors for desirability, feasibility, viability and adaptability

A big white space or wall to place everything

Flip chart and markers

Alternatively, use your personal Project in the Strategyzer App to work in a virtual, real-time environment

Your Turn - Extract, Prioritize & Refine Hypotheses

Time to get started with your own project! In this practice you will extract hypotheses for your own business idea, prioritize them, and refine them into strong hypotheses.

"What needs to be true for our idea to work?"

TOTAL TIME: 40 min

Print Directions

Directions

1. **Create a business prototype of your idea with the [Business Model Canvas](#) and [Value Proposition Canvas](#).**

If you want to learn more about business design, we suggest you read [Business Model Generation](#) and [Value Proposition Design](#) or download the [free online material](#).

2. **Extract the hypotheses underlying your idea**

To test a business idea you first have to make explicit all the risks that your idea won't work. You need to turn the assumptions underlying your idea into clear hypotheses that you can test.

Use a sticky note for each hypothesis and place them around your Business Model Canvas and Value Proposition Canvas. Organize them into desirability, feasibility, viability and adaptability hypotheses.

Best practices:

- Use different color sticky notes for desirability, feasibility, viability and adaptability hypotheses.
- When creating hypotheses, begin by writing the phrase "We believe that..."
- Every hypothesis should be a single sticky note. Don't use bullet points; that makes it easier to prioritize your hypotheses.
- Keep your hypotheses short and precise. No blah blah blah.
- Discuss and agree as a team when writing.

3. **Prioritize Hypotheses**

On a large flipchart, create a 2x2 to prioritize all your hypotheses in terms of criticality and existence or absence of evidence that supports different types of hypotheses.

x-axis: evidence

On the x-axis place all your hypotheses positioned to show how much evidence you have or don't have to support or refute a specific hypothesis. You place a hypothesis on the left if you are able to produce relevant, observable, and recent evidence to support a hypothesis. You place a hypothesis on the right if you do not have evidence and therefore will need to

generate it

y-axis: criticality

On the y-axis you place all your hypotheses in terms of criticality. Position a hypothesis at the top if it is absolutely critical for your business idea to succeed. In other words, if that hypothesis is proven wrong, your business idea will fail and all other hypotheses become irrelevant. You place a hypothesis at the bottom if it is not one of the first things you'd go out and test

Top right corner

Focus on the top right quadrant to identify which hypotheses to test first. This defines your near-term experimentation. In the next lesson you will learn how to create experiments to address these high-risk themes in your business.

4. Refine hypotheses into something testable, precise, and discrete

A well-formed business hypothesis describes a testable, precise, and discrete thing you want to investigate.

Characteristics of a good hypothesis:

- **Testable:** Your hypothesis is testable when it can be shown true (validated) or false (invalidated), based on evidence (and guided by experience).
- **Precise:** Your hypothesis is precise when you know what success looks like. Ideally, it describes the precise what, who, and when of your assumptions.
- **Discrete:** Your hypothesis is discrete when it describes only one distinct, testable, and precise thing you want to investigate.